HANGS Construction · October 2026 Fixed Asset Roll-Forward

HANGS Construction Development LP · Fixed assets at October 31, 2026 · Prepared November 9, 2026. DRAFT memo from the Accounting Machine. Unsigned. Invented demonstration data. A person reviews and decides every entry; the machine never posts one.

Fixed asset cost rolls from **$219,600.00** at September 30 to **$322,389.56** at October 31, and accumulated depreciation to $89,774.54, for a net book value of $232,615.02. Every account ties to the ledger after the proposed entries and to the corrected register, to the cent. October depreciation recomputes at $4,854.54. 5 exceptions need a person and 3 entries are proposed. Nothing has been posted.

Roll-Forward

Account	Sep 30	Additions	Disposals	Oct 31	Ledger After
1500 Equipment	$72,600.00	$85,193.16	$0.00	$157,793.16	$157,793.16
1510 Site Office Units	$36,000.00	$53,596.40	-$36,000.00	$53,596.40	$53,596.40
1520 Vehicles	$111,000.00	$0.00	$0.00	$111,000.00	$111,000.00
Cost	$219,600.00	$138,789.56	-$36,000.00	$322,389.56	$322,389.56
1590 Accumulated Depreciation	$101,420.00	$4,854.54	-$16,500.00	$89,774.54	$89,774.54

Additions include the excavator and the Phase 5 site office units at their booked cost and the full cost proposed in AJ-01. Accumulated depreciation adds RJ-03 and AJ-02 of the close and AJ-03 here, and takes off the trailer sold.

October Depreciation by Method and Class

Method	Class	October
Straight-line	Heavy equipment	$1,829.96
Straight-line	Survey instruments	$427.94
Straight-line	Vehicles	$1,850.00
Straight-line	Site office units	$746.64
All		**$4,854.54**

The register's own October column says $5,421.08; the difference is the two items struck from it. The close's entries carry $4,532.15.

Proposed Entries

Entry	Account	Debit	Credit	Support
AJ-01	1500 Equipment	$9,617.00		Draft JE-2610-FA1; AP ledger lines; Fixed Asset Policy FA-1 and FA-2
	1510 Site Office Units	$10,796.40		
	1500 Equipment	$7,076.16		
	6200 Small Tools & Supplies		$7,076.16	
	6300 Repairs & Maintenance		$5,150.00	
	6400 Freight & Delivery		$4,550.00	
	6500 Sales & Use Tax		$10,713.40	
AJ-02	1205 Other Receivables	$12,000.00		Bill of sale; fixed asset register; Fixed Asset Policy FA-5
	1590 Accumulated Depreciation	$16,500.00		

Entry	Account	Debit	Credit	Support
	7200 Gain or Loss on Disposal	$7,500.00		
	1510 Site Office Units		$36,000.00	
AJ-03	6960 Depreciation Expense	$322.39		Corrected register; Fixed Asset Policy FA-4
	1590 Accumulated Depreciation		$322.39	

Correct Before Close

Disposal With No Gain or Loss Entry · FA-105, sold October 28 · $7,500.00

FA-5 Disposals (Fixed Asset Policy page 4): “When an asset is sold, scrapped or traded in, remove its cost and accumulated depreciation in the month of disposal and record the proceeds. The difference from book value is a gain or loss in 7200 Gain or Loss on Disposal.”

FA-4 Depreciation (Fixed Asset Policy page 3): “Depreciate straight-line from the month an asset is placed in service, a full month in that month and through the month it is disposed of, with no salvage value. Lives for assets placed in service from July 1, 2026: heavy equipment 84 months, survey instruments 60 months, site office units 120 months, vehicles 60 months.”

The bill of sale and the register agree: Tidewater Used Modulars bought the site office trailer, Phase 4 for $12,000.00. GL 1510 still holds its $36,000.00 cost, 1590 its depreciation, and nothing was booked to 7200. Under FA-4 it is depreciated through October, so accumulated depreciation at sale is $16,500.00 ($16,200.00 to September 30 plus $300.00 for October, already in RJ-03) and book value is $19,500.00. Against the $12,000.00 price that is a $7,500.00 loss. AJ-02 removes the cost and depreciation, records the proceeds as a receivable (payment was due within 10 days of pickup, after October 31) and books the loss under FA-5.

Proposed entry AJ-02, not posted: Remove FA-105, site office trailer, Phase 4, sold October 28 to Tidewater Used Modulars, and record the loss. Dr 1205 Other Receivables $12,000.00; Dr 1590 Accumulated Depreciation $16,500.00; Dr 7200 Gain or Loss on Disposal $7,500.00; Cr 1510 Site Office Units $36,000.00. Reverses: No.

Follow-up: Confirm the buyer's payment of $12,000.00 and mark FA-105 disposed in the register (Staff accountant). Status: Open.

Depreciation on the Corrected Register · October 2026 · $322.39

FA-4 Depreciation (Fixed Asset Policy page 3): “Depreciate straight-line from the month an asset is placed in service, a full month in that month and through the month it is disposed of, with no salvage value. Lives for assets placed in service from July 1, 2026: heavy equipment 84 months, survey instruments 60 months, site office units 120 months, vehicles 60 months.”

Every asset recomputes straight-line from its cost and life, a full month in October for those placed in service in October and for the trailer sold in October (FA-4). The register's own October column says $5,421.08, because it still depreciates the two items struck above. The close staged RJ-03 for $3,716.67 and proposed AJ-02 for $815.48 on the excavator at its booked cost. The rest, $322.39, is October's depreciation on the full cost AJ-01 capitalizes. AJ-03 books it; if AJ-01 is not approved, this entry falls away with it.

Proposed entry AJ-03, not posted: October depreciation on the full cost capitalized by AJ-01, beyond the close's RJ-03 and AJ-02. Dr 6960 Depreciation Expense $322.39; Cr 1590 Accumulated Depreciation $322.39. Reverses: No.

Needs a Person

Repair Capitalized · FA-107A, KRE-2219 · $2,336.88

FA-3 Repairs and Improvements (Fixed Asset Policy page 3): “A repair that keeps an asset in working order, or restores it after a breakdown, is expensed to 6300 Repairs & Maintenance. Only an improvement that extends an asset's life, adds capacity or adapts it to a new use is capitalized.”

The invoice describes the work: "Repair after the hose failure of October 22. Returns the machine to normal operation." Its lines replace a failed hydraulic hose and worn bucket teeth. Under FA-3 a repair that restores an asset after a breakdown is expensed; nothing here extends the excavator's life or adds capacity. The bill is

already in 6300 Repairs & Maintenance (AP-10423), which is right. Take FA-107A off the register and drop draft line 5 from JE-2610-FA1; no entry is needed.

Follow-up: Remove FA-107A from the register and line 5 from the draft entry (Staff accountant). Status: Open.

Below the Capitalization Threshold · FA-109, NOS-5521 · $19,393.92

> *FA-1 Capitalization Threshold (Fixed Asset Policy page 2): "Capitalize an item that costs $5,000.00 or more per unit, including the costs in FA-2, and will be used for more than one year. An item below the threshold is expensed, even when many are bought on one invoice."*

NOS-5521 bought 12 items at $1,616.16 each with sales tax. FA-1 tests each unit against the $5,000.00 threshold, even when many are bought on one invoice, so none of them is a fixed asset. The bill is already in 6600 Office & Computer Equipment (AP-10417), which is right. Take FA-109 off the register and drop draft line 4; keep the items on the equipment inventory list instead. No entry is needed.

Follow-up: Remove FA-109 from the register and line 4 from the draft entry (Staff accountant). Status: Open.

Full Cost Not in the Ledger · Draft JE-2610-FA1 · $27,489.56

> *FA-2 Cost (Fixed Asset Policy page 2): "An asset's cost is its price and every cost to deliver it and make it ready for use: freight, setup, installation and sales tax."*
>
> *FA-1 Capitalization Threshold (Fixed Asset Policy page 2): "Capitalize an item that costs $5,000.00 or more per unit, including the costs in FA-2, and will be used for more than one year. An item below the threshold is expensed, even when many are bought on one invoice."*

line 1, KRE-2207 setup, delivery and sales tax, $9,617.00 to 1500; line 2, CPM-0412 delivery, installation and sales tax, $10,796.40 to 1510; line 3, LSI-0930 robotic total station, $7,076.16 to 1500. Each is part of an asset's cost under FA-2 or an asset over the $5,000.00 threshold under FA-1, and each was expensed when the bill was entered. These are the same amounts the AP review found under its full-cost and capitalization checks: post them once, from here or from the AP review. AJ-01 keeps those lines and drops lines 4 and 5.

Proposed entry AJ-01, not posted: Capitalize the full cost of October's assets, from draft JE-2610-FA1 less the struck lines. Dr 1500 Equipment $9,617.00; Dr 1510 Site Office Units $10,796.40; Dr 1500 Equipment $7,076.16; Cr 6200 Small Tools & Supplies $7,076.16; Cr 6300 Repairs & Maintenance $5,150.00; Cr 6400 Freight & Delivery $4,550.00; Cr 6500 Sales & Use Tax $10,713.40. Reverses: No.

Open Items and Sign-Off

Every entry above stays proposed until a person accepts it or changes it with a reason. AJ-01 carries the same amounts as the AP review's capitalization findings and must be posted only once. Entries are posted only after the Controller's review (FA-7). Nothing has been posted. This memo is not a sign-off.

Prepared by: Accounting Machine (draft, unsigned)
Reviewed and approved by: _____ Controller · Date: _____